

Tentative Rulings
May 20, 2026
Department S-17
Judge Joseph Ortiz

Tentative Rulings for Department S-17 are posted on the court's website (<https://www.sb-court.org/divisions/civil/civil-tentative-rulings>) at 3:00 p.m. or at 7:00 p.m. the court day before the hearing. If no tentative ruling is posted at 3:00 p.m., please check again after 7:00 p.m.

Unless you wish to submit on the tentative ruling, you must appear for the hearing either in person, CourtCall (888-882-6878 or www.courtcall.com), or by ZOOM. Failure to appear is deemed a waiver of oral argument. If you wish to submit to the tentative, please call the Judicial Assistant at (909) 708-8715 in advance of the hearing. If all parties submit on a tentative ruling, it will become final. The tentative ruling may seek input on particular issues and direct appearance. If so directed, attendance at the hearing is mandatory. The party prevailing on a motion or other hearing shall serve written notice of the court's ruling unless all parties waive notice of the ruling.

ATTENTION: As of January 9, 2023, the court no longer provides an official Court Reporter to transcribe proceedings. Parties who wish to have a transcript must retain their own private reporter and must submit a "Stipulation and Order to Use Certified Shorthand Reporter." Please contact the Department if you need this form. Parties who do not retain their own reporter have waived the right to one.

UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.

15. *Strege, et al, v. Ford Motor Company, et al*, Case No. CIVSB2437208
Defendant Ford's Demurrer to Second Amended Complaint
5/20/26, 9:00 a.m., S-17

Tentative Ruling

The Court would **OVERRULE** Defendant's Demurrer to the Third Cause and **ORDER** Defendant to file and serve its Answer to the Second Amended Complaint (SAC) within twenty days.

Case Summary

This is a lemon law case. On or about February 23, 2019, Plaintiffs purchased the subject vehicle. They assert that the vehicle included warranties. However, they assert that there were transmission defects and nonconformities within the warranty period. They assert that Defendant knew or should have known of the defects and should not have sold the vehicle. They further allege that Defendant concealed its knowledge of the defects. Notwithstanding, they also alleged they are entitled to replacement or restitution, and that, despite adequate opportunity, Defendant has failed to provide replacement or restitution. As such, they filed suit on December 17, 2024. After multiple demurrers, Plaintiff filed the operative SAC on January 22, 2026, alleging causes of action for (1) violation of the Song-Beverly Act – Breach of Express Warranty; (2) violation of the Song-Beverly Act – Section 1793.2; (3) Fraudulent Inducement – Concealment; and (4) Negligent Repair. This demurrer to the third cause for Fraudulent Inducement cause followed.

Analysis

Fraud by concealment requires that the defendant owed a duty to disclose. "A duty to speak may arise in four ways: it may be directly imposed by statute or other prescriptive law; it may be voluntarily assumed by contractual undertaking; it may arise as an incident of a relationship between the defendant and the plaintiff; and it may arise as a result of other conduct by the defendant that makes it wrongful for him to remain silent." (*SCC Acquisitions, Inc. v. Central Pacific Bank* (2012) 207 Cal.App.4th 859, 860.) Our Supreme Court has described the necessary relationship giving rise to a duty to disclose as a "transaction" between the plaintiff and defendant: "In transactions which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff." (*Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311, citing *Warner Construction Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294.)

Furthermore, the facts that constitute fraud must be alleged fully, factually, and specifically. (*Wilhelm v. Pray, Price, Williams & Russell* (1986) 186 Cal.App.3d 1324, 1331.) The purpose of

the specificity requirement is to give notice to the defendant and to furnish the defendant with certain definite charges that can be intelligently met. (*Alfaro v. Community Housing Improvement System & Planning Assn, Inc.* (2009) 171 Cal.App.4th 1356, 1384.)

Here, the pleadings still bluntly posit that certain of Defendant's "agents actively concealed the existence and nature of the . . . Transmission Defect from Plaintiffs at the time of purchase or lease, repair, and thereafter." (SAC, ¶153.) However, in this iteration, Plaintiffs now indicate that *some* sort of communication occurred, albeit from still-unnamed and unidentified agents: They now indicate that Defendant "made partial misleading representations regarding the . . . transmission's performance and characteristics despite its extensive internal knowledge of the . . . Transmission Defect . . ." (SAC, ¶131; see also SAC, ¶134 [disclosed characteristics of drive quality and performance but failed to mention defect].) While the prior iteration seemed to rest only on marketing materials, this iteration now appears – at least impliedly – to set forth sales discussions at the heart of the cause for concealment.

In construing the above allegation in light of the additional allegations relating to prior knowledge and Plaintiffs' need to be aware of such defects, it appears the claims are now sufficiently pleaded. Plaintiffs have pleaded (1) the matter of the defective transmission having been concealed; (2) the concealing of the defect within marketing materials, advertisements, and through the dealership; (3) Defendant's knowledge of the defect; and (4) the effect of the nondisclosure. This sufficiently alleges the elements for fraudulent concealment and specifies the matter, means, and effect of the alleged concealment.

16. *Santamaria v. Gulf Harbour Investments Corp.*, Case No. CIVSB2519211
Defendant's Demurrer to First Amended Complaint
5/20/26, 9:00 a.m., Dept. S-17

Tentative Rulings

The Court would again **SUSTAIN** with twenty days' leave to amend.

Case Summary

This is, in essence, an unjust enrichment case. Plaintiff alleges that he financed three properties in the City of Ontario (collectively, the Subject Property) for the purpose renting them out. He had a first loan and a second junior loan. Eventually, the second loan was purchased by Defendant Gulf Harbour, who later initiated foreclosure. The at-issue property was subject to a nonjudicial trustee's sale on September 8, 2021, but the sales amount was insufficient to pay